

Modelling Financial Markets

Chapter 12: Options and the Volatility Surface



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What Option Prices Reveal About the Future Distribution

- An **option** gives the right, not the obligation, to buy (call) or sell (put) an asset at a fixed strike price
  - It pays only in some states: a bet on the **distribution**, not only on the direction; option prices reveal what the market expects about volatility and crashes
- Part I: pricing by replication and what a hedge leaves behind
  - Parity and static spanning; the tree and the Black–Scholes equation; the Greeks; discrete-hedging error and the gamma-weighted volatility P&L (profit and loss)
  - Implied volatility, the smile, and a full Bitcoin surface with its risk-neutral density
- Part II: implied volatility as information
  - Variance swaps and the VIX (the Cboe index of 30-day S&P 500 implied volatility); the variance risk premium; is the VIX a good forecast? 0DTE options (zero days to expiry)
  - Case study: are option-implied bounds on the equity premium valid and tight? AI (artificial intelligence) for scientific discovery
- Outcome: estimate a surface and a density under no-arbitrage constraints, with bands, and test option-implied forecasts with the right standard errors

Chicago, 1973: Listed Options Begin



Trading floor of the Chicago Board of Trade in 2006; its members founded the Cboe in 1973

Photo: Richie Diesterheft (2006); CC BY 2.0; Wikimedia Commons

- The Chicago Board Options Exchange (Cboe) opened in 1973 as the first exchange for standardised, listed options MacKenzie & Millo (2003)
  - Before: options were negotiated one by one, over the counter
- The same year: the Black–Scholes and Merton pricing papers Black & Scholes (1973), Merton (1973)
- Traders soon used the formula on the floor: theory changed the market it described MacKenzie & Millo (2003)
- Textbooks
  - Franke, Härdle & Hafner (2019)
  - Härdle, Chen & Overbeck (2017), Gatheral (2006)

The Formula and Its Authors



Fischer Black (1938–1995)

Photo: Dalmatine at English Wikipedia; public domain; Wikimedia Commons



Myron Scholes (2008)

Photo: Nobellaureatesphotographer (2008); CC BY-SA 3.0; Wikimedia Commons



Robert C. Merton (2006)

Photo: Digarnick (2006); public domain; Wikimedia Commons

- Key idea: a portfolio of the stock and cash can **replicate** the option, so its price follows from no-arbitrage Black & Scholes (1973)
- Scholes and Merton received the 1997 Nobel Memorial Prize in Economic Sciences; Black had died in 1995

The Data: Volatility Indices and a Bitcoin Option Snapshot

Series	What it measures	Period	Owner
S&P 500	US equity index, daily close	1990–2026	S&P Dow Jones Indices
SPY	exchange-traded fund (ETF) on the S&P 500: open and close	1993–2026	State Street
VIX	30-day implied volatility of the S&P 500	1990–2026	Cboe
VIX9D, VIX3M	the same over 9 days and 3 months	2011 / 2007–2026	Cboe
VVIX	implied volatility of the VIX	2006–2026	Cboe
Bitcoin options	all listed contracts, one dated snapshot	22 Sep 2026	Deribit
DVOL	30-day implied volatility of Bitcoin	2021–2026	Deribit

- Daily data up to 18 September 2026; the option snapshot was taken on 22 September 2026, 07:51 UTC (UTC: Coordinated Universal Time)
- Implied volatility is quoted in annualised %; "vol points" = percentage points of volatility

Notation: Prices, Expiry and Moneyness

- Prices and parameters
  - S_t: price of the underlying at time t; K: strike; T: expiry; r: continuously compounded risk-free rate; q: dividend yield
  - C, P: prices of a call and a put; $(x)^+ = \max(x, 0)$; σ_{imp}: implied volatility (Section 6)
- European call and put pay off $(S_T - K)^+$ and $(K - S_T)^+$ at expiry T; $\tau = T - t$ in years; American options can be exercised at any time up to T
  - Both pay-offs are convex in S_T: the value of this convexity is what the smile prices

Moneyness and Context-dependent Symbols

- Forward $F = Se^{(r-q)\tau}$, log-moneyness $k = \ln(K/F)$; ATM (at the money): $k \approx 0$; OTM (out of the money): puts with $K < F$ and calls with $K > F$; ITM (in the money): the opposite
  - Most of this chapter works in k and in total implied variance $w = \sigma_{imp}^2 \tau$
- One letter, several roles (read them from the context): q is the dividend yield; $q(K)$ the risk-neutral density of S_T (Sections 2 and 7); q in the binomial tree the risk-neutral up-probability (Section 3); Q the pricing measure; $Q(K_i)$ the Cboe mid quote at strike K_i (Section 8)

Model-Free Bounds, Log Returns and Prerequisites

- Model-free bounds (no dividends): $\max(S - Ke^{-r\tau}, 0) \le C \le S$ and $\max(Ke^{-r\tau} - S, 0) \le P \le Ke^{-r\tau}$
  - With $r > 0$ an American call on a stock without dividends is never exercised early: it is worth at least $S - Ke^{-r\tau} > S - K$
- Moneyness is measured here against the forward F; the pay-off primer of Seminar 12 (Options and Their Pay-offs) and the smile chart of Section 6 use the spot S (OTM call: $K > S$)
  - The two references differ by the factor $F/S = e^{(r-q)\tau}$, close to 1 for short expiries: only strikes between S and F change class
- Log return $\ln(S_t/S_{t-1})$, not the simple return $(S_t - S_{t-1})/S_{t-1}$: from 100 to 110 the simple return is 10%, the log return $\ln 1.1 = 9.53\%$
  - Log returns add up over time and are Normal under Black–Scholes; volatility σ is their annualised standard deviation
- Assumed: Brownian motion, Itô's lemma and martingales (Chapter 11); regression with HAC (heteroskedasticity and autocorrelation consistent) standard errors (Chapter 8)

A First Reading and a Deeper Reading

- **First reading**: what every student should be able to explain after the lecture
  - Sections 2–7: parity, spanning, the tree, Black–Scholes, the Greeks, delta hedging, the smile and the Bitcoin surface with its density
  - Section 8 up to "Is the VIX a Good Forecast?"; Section 9 (0DTE); in Section 10 the research question and the headline result; the conclusions and the check questions
- **Deeper reading**: graduate econometrics on option data, optional on a first pass
  - The forecast tests of Section 8, the Kodde–Palm tests and forecasting regressions of Section 10, the research project of Section 11, the ▸ Appendix proofs
  - The inference questions concern forecast accuracy, risk-premium bounds and the stability of predictive relationships
- **Practice**: the solved models Seminar 12, A1 (Greeks), Seminar 12, A2 (implied volatility), Seminar 12, B1 (hedging error) and Seminar 12, B2 (VRP inference) follow the first reading

Put–Call Parity

- Two portfolios with the same pay-off at T (European options, same K and T, no dividends):
  - A: one call + cash $Ke^{-r\tau}$ (worth K at T) $\Rightarrow \max(S_T, K)$
  - B: one put + one share $\Rightarrow \max(K, S_T)$
- Same pay-off in every state, so the same price today, otherwise there is an arbitrage:
  - $C_t - P_t = S_t - Ke^{-r\tau}$ (with dividend yield q: $S_t e^{-q\tau}$ instead of S_t)
- No model for S is needed: parity uses only no-arbitrage Merton (1973)
- Consequence: a call and a put with the same K and T have the **same** implied volatility

Static Replication: Any Pay-Off from a Bond, a Forward and Options

- Carr–Madan spanning: any twice-differentiable pay-off $f(S_T)$ and any point F (Taylor with integral remainder; proof in the Appendix):
  - $f(S_T) = f(F) + f'(F)(S_T - F) + \int_0^F f''(K)\,(K - S_T)^+ dK + \int_F^\infty f''(K)\,(S_T - K)^+ dK$
  - f', f'': first and second derivatives of the pay-off; reading: a bond, a forward and $f''(K)\,dK$ puts below F and calls above F
  - Priced today (F the forward): $V_0 = e^{-r\tau} f(F) + \int_0^F f''(K)\,P(K)\,dK + \int_F^\infty f''(K)\,C(K)\,dK$
  - $P(K)$, $C(K)$: today's put and call prices at strike K, whatever the model for S Bakshi, Kapadia & Madan (2003)
- Why this price: each piece has a market price today (the bond $e^{-r\tau}$ per unit, the forward 0, the options $P(K)$ and $C(K)$); two positions with the same pay-off at T must cost the same, exactly as in put–call parity
  - No model for S and no pricing measure are needed for V_0; the measure Q of Section 3 is needed only to read option prices as expectations, as in the density bullet of the next slide

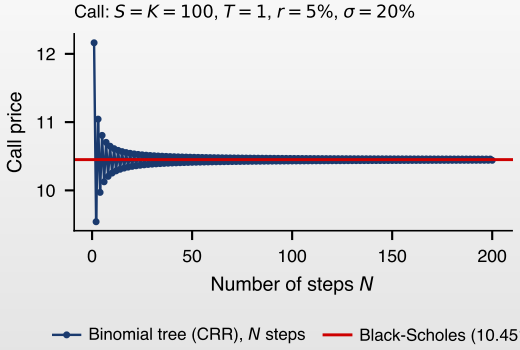
Static Replication: Three Results Used Later

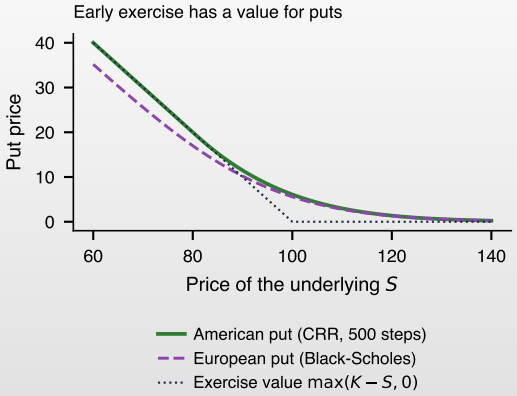
- Previews: the variance strip is developed in Section 8, the density in Section 7; "risk-neutral" refers to the pricing measure Q introduced with the binomial tree (Section 3)
- **Variance**: $f(S) = -2\ln(S/F)$ has $f''(K) = 2/K^2$: the strip with weights $1/K^2$ is the variance swap and the VIX (Section 8)
  - Low strikes get the largest weights, so an expensive put wing makes variance expensive
- **Density**: a butterfly $[C(K-h) - 2C(K) + C(K+h)]/h^2 \to \partial^2 C/\partial K^2 = e^{-r\tau} q(K)$ Breeden & Litzenberger (1978)
  - h: the strike step; $q(K)$: the risk-neutral density of S_T; the density is a price (Section 7)
- Straddles, spreads and protective puts are finite strips with f'' concentrated at one or two strikes; moments and SVIX (simple VIX, the variance index of Martin (2017)): Appendix

No Arbitrage and the Pricing Measure

- One period, $S \to uS$ or dS, $d < R = e^{r\Delta t} < u$: $\Delta = \dfrac{C_u - C_d}{(u-d)S}$ shares plus cash replicate the call, so
  - u, d: up and down factors; Δt: length of the period; R: gross riskless return; C_u, C_d: call values after an up and a down move
  - $C = \dfrac{q\,C_u + (1-q)\,C_d}{R}$, $\quad q = \dfrac{R-d}{u-d}$: q (here a probability, not the dividend yield) is the unique probability under which S_t/R^t is a martingale
- The real probability of an up move never enters: risk preferences are already in S
- **Fundamental theorem**: no arbitrage $\Leftrightarrow$ an equivalent martingale measure Q exists; complete market $\Leftrightarrow$ Q is unique Harrison & Pliska (1981), Delbaen & Schachermayer (1994)
  - With jumps or stochastic volatility the market is incomplete: many Q, and option prices carry risk premia (Section 8)
- CRR (Cox–Ross–Rubinstein) tree Cox, Ross & Rubinstein (1979): $u = e^{\sigma\sqrt{\Delta t}}$, $d = 1/u$, value backwards from T; American options: max(continuation, exercise) at every node

From the Tree to Black–Scholes





MFM_ch12_binomial

Convergence and the Early-Exercise Premium

- Left: CRR price of a European call for $N = 1, \ldots, 200$ steps; right: American vs European put
- Converges to Black–Scholes (10.451): $N = 50$: 10.411; $N = 200$: 10.441; $N = 1000$: 10.449
  - The error is of order $1/N$ and oscillates: $N = 10$ gives 10.253, $N = 11$ gives 10.611 (strike on or between nodes; Seminar 12, A6)
- American put at $S = K = 100$: 6.090 vs European 5.574; early-exercise premium 0.516: deep in the money it pays to receive K now

MFM_ch12_binomial

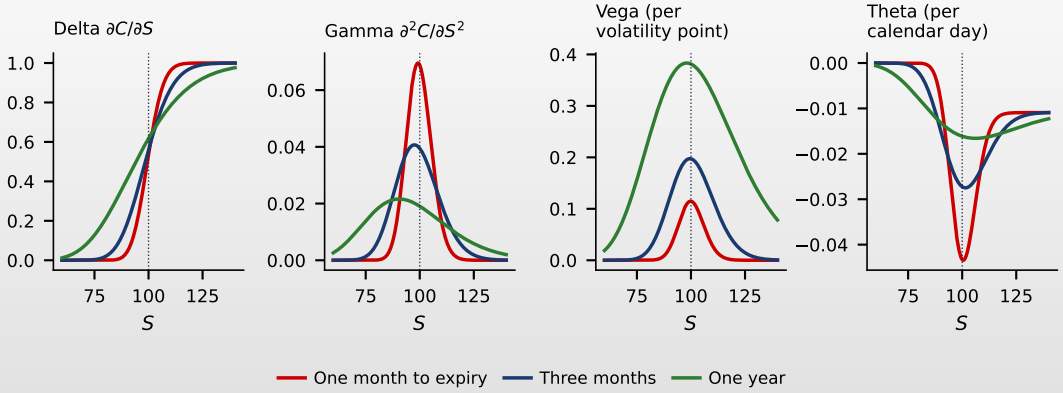
The Black–Scholes Model and Equation

- Geometric Brownian motion $dS_t = \mu S_t\,dt + \sigma S_t\,dW_t$: log returns over τ follow the Normal distribution with variance $\sigma^2\tau$; constant σ and r, continuous trading, no costs, short selling allowed
  - $V(S,t)$: option value; V_t, V_S, V_{SS}: its partial derivatives in t and S (first, first, second)
  - Replicate $V(S,t)$ with a **self-financing** portfolio Π of Δ_t shares and cash B_t at r: $d\Pi = \Delta\,dS + rB\,dt$
- Itô's lemma: $dV = \left(V_t + \mu S V_S + \frac{1}{2}\sigma^2 S^2 V_{SS}\right)dt + \sigma S V_S\,dW_t$
- Choose $\Delta = V_S$, start from $\Pi = V$ ($B = V - SV_S$): $d(V-\Pi) = \left(V_t + \frac{1}{2}\sigma^2 S^2 V_{SS} - rB\right)dt$; both dW_t and μ drop out
- A riskless position that costs nothing must earn nothing, hence the **Black–Scholes equation** Black & Scholes (1973), Merton (1973)
  - $V_t + \frac{1}{2}\sigma^2 S^2 V_{SS} + rSV_S - rV = 0$, with $V(S,T) =$ pay-off
- That μ is irrelevant is a result, not an assumption; Feynman–Kac: $V = e^{-r\tau}E^Q[\text{pay-off}]$ with S drifting at r under Q

The Black–Scholes Formula

- European call and put, no dividends (with yield q: replace S by $Se^{-q\tau}$):
  - $C = S\,\Phi(d_1) - Ke^{-r\tau}\,\Phi(d_2), \qquad P = Ke^{-r\tau}\,\Phi(-d_2) - S\,\Phi(-d_1)$
  - $d_1 = \dfrac{\ln(S/K) + (r + \sigma^2/2)\tau}{\sigma\sqrt{\tau}}, \qquad d_2 = d_1 - \sigma\sqrt{\tau}$, with Φ the standard Normal distribution function
- Reading the two terms:
  - $\Phi(d_2)$ = risk-neutral probability that the call ends in the money
  - $\Phi(d_1)$ = number of shares in the replicating portfolio (the delta)
- Five inputs: S, K, τ, r observed; σ is the only one not observed: it must be estimated or implied

The Greeks: One Identity, All Sensitivities (1/2)



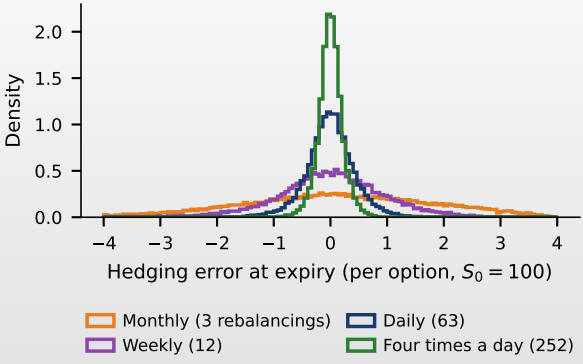
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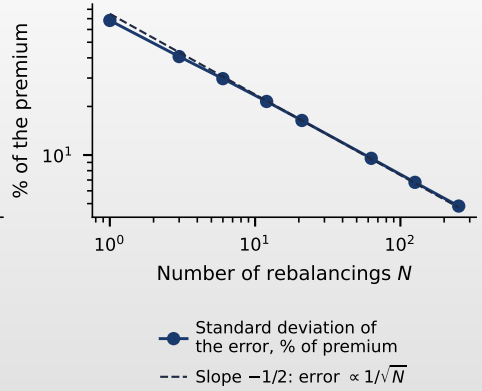
The Greeks: One Identity, All Sensitivities (2/2)

- Greeks: partial derivatives of the price, $\Delta = \partial C/\partial S$, $\Gamma = \partial^2 C/\partial S^2$, vega $\mathcal{V} = \partial C/\partial \sigma$, $\Theta = \partial C/\partial t$, rho $= \partial C/\partial r$
- Delta $\Delta = \Phi(d_1)$ (put: $\Phi(d_1) - 1$); gamma $\Gamma = \varphi(d_1)/(S\sigma\sqrt{\tau})$, φ the standard Normal density; key identity $S\varphi(d_1) = Ke^{-r\tau}\varphi(d_2)$
- Vega $= S\varphi(d_1)\sqrt{\tau} = \Gamma S^2\sigma\tau$: for one expiry gamma and vega are proportional (Seminar 12, A1, A7); theta $\Theta = rC - rS\Delta - \frac{1}{2}\sigma^2 S^2\Gamma$; rho $= K\tau e^{-r\tau}\Phi(d_2)$
- Call with $K = 100$; short maturities concentrate gamma and theta at the strike, long maturities carry the most vega; vega per vol point, theta per calendar day

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Discrete Delta Hedging: Algorithm and Error (1/2)





MFM_ch12_hedge_error

Discrete Delta Hedging: Algorithm and Error (2/2)

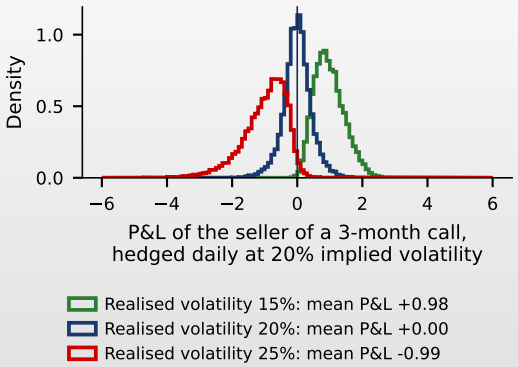
- Sell one call at its Black–Scholes price, buy Δ_0 shares, keep the rest in cash; rebalance N times
  - **Hedging error** = shares + cash − pay-off at expiry (geometric Brownian motion, GBM, $\mu = 8\%$, $\sigma = 20\%$, three months, 20 000 paths)
  - Contract: $S_0 = K = 100$, $r = 4\%$, $T = 0.25$; Black–Scholes premium 4.49, so $d_1 = 0.15$
- Mean error near 0; standard deviation (s.d.) in % of the premium: monthly 40.8%, weekly 21.5%, daily 9.5%, four times a day 4.8%; worst 1% of paths, in currency units per option: −2.68 (weekly), −1.17 (daily)
- Log-log slope −0.48; theory (Appendix): s.d. $\approx \sqrt{\pi/4}\,\mathcal{V}\sigma/\sqrt{N}$ ($\mathcal{V}$: vega), 1.01, 0.44, 0.22 vs simulated 0.96, 0.43, 0.22 ($N = 12, 63, 252$); costs grow like N

MFM_ch12_hedge_error

Derivation: the Gamma-Weighted Volatility P&L

- Sell the option at σ_{imp} (V^{imp}: its Black–Scholes value at σ_{imp}) and hold $\Delta = \partial_S V^{imp}$; the price moves with σ_{real}: $dS = \mu S\,dt + \sigma_{real} S\,dW_t$
- Itô on V^{imp}: $dV = V_t\,dt + \Delta\,dS + \frac{1}{2}\Gamma\sigma_{real}^2 S^2 dt$; the equation at σ_{imp} gives $V_t = rV - rS\Delta - \frac{1}{2}\sigma_{imp}^2 S^2\Gamma$
- Short option + Δ shares + cash at r, self-financing: $d\,\text{P\&L} = r\,\text{P\&L}\,dt + \frac{1}{2}\Gamma_t S_t^2\left(\sigma_{imp}^2 - \sigma_{real}^2\right)dt$, so over the life
  - $\text{P\&L} = \int_0^T e^{r(T-t)}\,\frac{1}{2}\,\Gamma_t S_t^2\left(\sigma_{imp}^2 - \sigma_{real,t}^2\right)dt$: path-dependent, weighted by Γ, large near K and near T
- A short variance swap pays $\sigma_{imp}^2 - \sigma_{real}^2$ with constant weights; a delta-hedged option is a variance bet with random weights
- First-order size: vega $\times$ (implied $-$ realised), checked on the next slide
  - Why: vega $= \Gamma S^2\sigma\tau$ (Section 4), so $\frac{1}{2}\Gamma S^2(\sigma_{imp}^2 - \sigma_{real}^2)\tau = \frac{1}{2}\Gamma S^2(\sigma_{imp} + \sigma_{real})(\sigma_{imp} - \sigma_{real})\tau \approx \Gamma S^2\sigma(\sigma_{imp} - \sigma_{real})\tau = \text{vega} \times (\sigma_{imp} - \sigma_{real})$

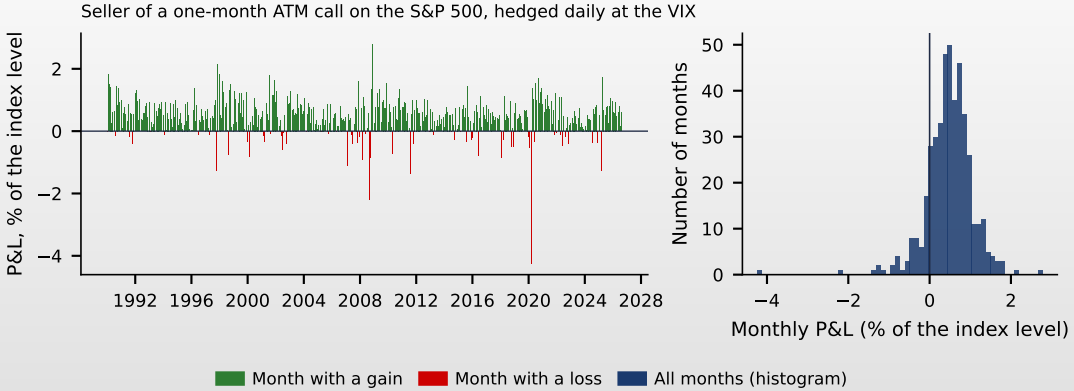
Selling Volatility at 20%: Three Outcomes



- Three-month call sold at 20% implied volatility
  - Hedged daily; realised volatility 15%, 20% or 25%
- Realised 15%: mean P&L $+0.98$, positive on 99.8% of paths
- Realised 20%: mean $+0.00$
  - Only discrete-hedging noise remains (s.d. 0.43)
- Realised 25%: mean -0.99, positive on only 2.2% of paths
- Each mean is close to vega $\times$ 5 vol points $= 0.197 \times 5 \approx \pm 0.99$
  - A clean bet on volatility

MFM_ch12_vol_mismatch

Thirty-Six Years of Selling S&P 500 Volatility (1/2)



MFM_ch12_delta_hedged_sp500

Thirty-Six Years of Selling S&P 500 Volatility (2/2)

- Every 21 trading days: sell a one-month ATM call priced with the VIX, hedge it daily at the same volatility; P&L in % of the index; interest and dividends ignored
- 440 months from 1990-01: mean 0.48% a month, Newey–West $t = 16.0$ Newey & West (1987); positive in 86% of months; VIX above the realised volatility of the month in 84% of months (19.3 vs 15.3)
- Worst month -4.25% (2020-03), skewness -1.46: many small gains, a few large losses; consistent with a **volatility risk premium**, but actual seller returns need option quotes and costs Bakshi & Kapadia (2003)

MFM_ch12_delta_hedged_sp500

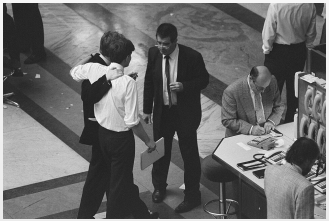
Implied Volatility

- **Implied volatility** σ_{imp}: the σ that makes the Black–Scholes price equal the market price
  - $BS(S, K, \tau, r, \sigma_{imp}) = C^{market}$; $BS(\cdot)$: the Black–Scholes formula, C^{market}: the observed price; unique because vega > 0: the price increases in σ
- Newton's method: $\sigma_{k+\mathbf{1}} = \sigma_k - \dfrac{BS(\sigma_k) - C^{market}}{\mathcal{V}(\sigma_k)}$
  - σ_k: the k-th iterate; $\mathcal{V}(\sigma_k)$: vega at σ_k, the slope of the price in σ
  - Example: $S = K = 100$, three months, $r = 2\%$, market price 4.50; start at $\sigma_{\mathbf{0}} = 20.00\%$
  - $BS(\sigma_{\mathbf{0}}) = 4.2322$, $\mathcal{V} = 19.848 \Rightarrow \sigma_{\mathbf{1}} = 21.3495\%$; the next step changes only the 6th decimal: $\sigma_{imp} = 21.3495\%$
- Traders quote options in implied volatility, not in money: it is comparable across strikes, maturities and assets
- If Black–Scholes were right, all options on one asset would have the **same** implied volatility

Vega and the Units of a Newton Step

- In the formulas, volatility is a decimal: $20\% = 0.20$. Vega is the price derivative per one unit of this decimal volatility; one volatility point is a change of 0.01.
- In the Newton example, vega 19.848 therefore means about 0.19848 price units per volatility point. The price gap $4.50 - 4.2322 = 0.2678$ implies a step $0.2678/19.848 \approx 0.01349$, or 1.349 volatility points.
- Adding that decimal step to 0.20 gives approximately 0.21349. Use unrounded price and vega values for the reported final digits.
- The division is stable only when vega is sufficiently far from zero. First check that the price lies strictly between the no-arbitrage bounds; then use a bracketed solver if Newton leaves a positive volatility bracket.

After October 1987: the Smile Appears



Amsterdam stock exchange after the crash, 21 October 1987

Photo: Bart Molendijk / Anefo (1987); CC0; Wikimedia Commons

- Before 1987 index options had a nearly flat implied volatility across strikes Rubinstein (1994)
  - Since the crash, low-strike puts are much more expensive: the **skew**
- October 1986 – August 1987: option prices showed crash fears Bates (1991)
  - Not strongly in the two months immediately before the crash
- **Smile**: implied volatility as a function of K; **term structure**: as a function of T; **surface**: both
- Crash risk on the Bucharest Stock Exchange: Pele & Mazurencu-Marinescu (2012)

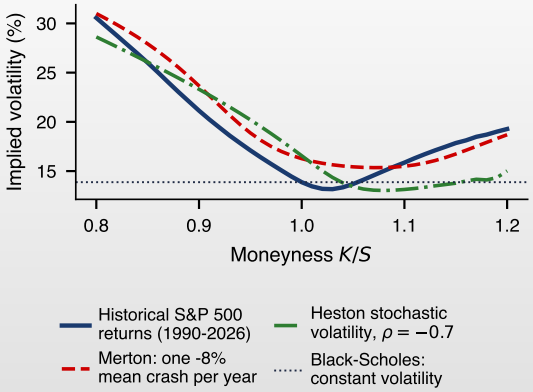
Why Smiles Exist and How Models Produce Them

- **Fat tails**: large moves are more frequent than the Normal distribution allows (Chapter 1), so deep OTM options are worth more than Black–Scholes says
- **Leverage and volatility feedback**: when prices fall, volatility rises Christie (1982); negative skewness makes low-strike puts dearer
- **Crash fear and demand for insurance**: investors pay a premium for puts; intermediaries need compensation for crash risk they cannot hedge Bates (1991)

Model	Idea	Fits best
Jumps Merton (1976)	Poisson jumps added to the Brownian motion	steep short-dated smiles
Stochastic volatility Heston (1993), Hull & White (1987)	variance follows its own mean-reverting process, correlated with S	skew and term structure of longer maturities
Local volatility Gatheral (2006)	$\sigma(S, t)$ read off the whole surface (Dupire's formula)	matches every quoted price today, exotic options
Parametric smile, SVI (stochastic volatility inspired) Gatheral & Jacquier (2014)	five parameters per expiry, no dynamics	interpolation and quoting (Section 7)

- Processes: Chapter 11; the implied-volatility surface in detail: Franke, Härdle & Hafner (2019), Čížek, Härdle & Weron (2011)

Three Sources of a Smile (1/2)



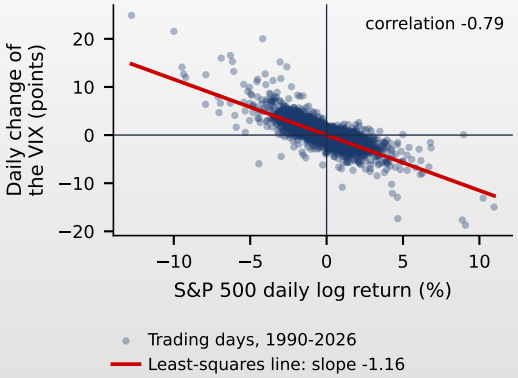
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Three Sources of a Smile (2/2)

- One-month implied volatility from three sources
  - History: S&P 500 monthly returns rescaled to a martingale ($r = 0$, no risk adjustment)
  - A jump model and a stochastic-volatility model
- History: 9 225 overlapping returns, skewness -1.27, excess kurtosis 6.8
  - 30.6% at $K/S = 0.8$, 13.9% ATM, 19.3% at 1.2
- Merton jumps, one crash of about -8% a year
  - 31.0% at 0.8 vs 16.3% ATM
- Heston, $\rho = -0.7$
  - 28.6% at 0.8, 16.6% ATM, 13.1% at 1.1
- Risk-neutral laws: more left-skewed than realised Jackwerth (2000)
  - Priced crash risk steepens market smiles further

MFM_ch12_smile_models

The Leverage Effect in the Data



- Daily S&P 500 log return (%) vs the change of the VIX (index points) on the same day, 1990–2026
- Correlation -0.79 over 9 244 days: implied volatility rises when the market falls
- Slope -1.16 VIX points per 1% return
  - Steeper on down days (-1.39) than on up days (-1.01)
  - Mean VIX change: $+0.88$ on down days, -0.76 on up days
- The $\rho < 0$ of Heston and the asymmetry of GJR-GARCH, the Glosten–Jagannathan–Runkle version of the GARCH conditional-variance model (Chapter 5)
  - Low-strike puts gain from the fall and from the rise in volatility
  - Hence they are expensive

MFM_ch12_leverage

Bitcoin Options and the SVI Smile

- Deribit lists European options on Bitcoin, traded 24/7; **inverse** options: premium and pay-off in bitcoin (BTC), not in US dollars (USD); each expiry has its own forward F; DVOL is its 30-day implied-volatility index Deribit DVOL
  - Our snapshot: 22 September 2026, 07:51 UTC; 9 expiries with at least two days left, 375 quoted OTM options; crypto risk: Pele et al. (2023); hedging Bitcoin options: Matic, Packham & Härdle (2023)
- Work with the **total implied variance** $w(k) = \sigma^2_{imp}(k)\,\tau$ at log-moneyness $k = \ln(K/F)$
  - SVI parameterisation Gatheral & Jacquier (2014): $w(k) = a + b\left(\rho\,(k-m) + \sqrt{(k-m)^2 + s^2}\right)$
  - a level, b slope of the wings, ρ tilt (negative = put skew), m shift, s curvature at the bottom; wing slopes $b(1 \pm \rho)$
- One SVI fit per expiry by least squares on w; the fit must then be checked against the no-arbitrage constraints (next slide)

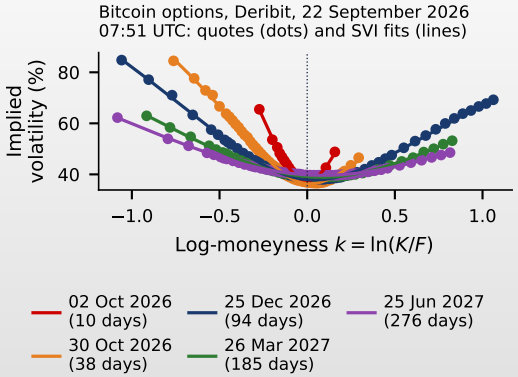
Inverse Options: Why the USD Formulas Still Apply

- An inverse call pays $(S_T - K)^+/S_T$ BTC at T; converted at S_T USD per BTC this is exactly $(S_T - K)^+$ USD, the pay-off of a standard USD call
  - Toy example: $K = 90\,000$, $S_T = 100\,000$: the holder receives $10\,000/100\,000 = 0.1$ BTC, worth 10 000 USD
- Same pay-off, same value: a premium of p BTC paid today costs $p \times S$ USD at today's index S, so $p \times S$ is the USD price of the standard call
  - Black–Scholes/Black-76 and the exchange's mark IV therefore apply to $p \times S$ unchanged; this is the conversion used in the smile, density and VIX slides
- The rate: Deribit quotes a forward F for each expiry; the course uses $e^{r\tau} = F/S$, the carry implied by the futures basis, in place of a Treasury rate
  - Student check: an inverse put with $K = 90\,000$ ends at $S_T = 75\,000$. What does it pay in BTC and in USD? (Answer: 0.2 BTC, i.e. 15 000 USD)

No-Arbitrage Constraints on the Smile

- **Wings**: Lee (2004) bounds the asymptotic slope, $\limsup_{|k|\to\infty} w(k)/|k| \le 2$; for SVI $b(1+|\rho|) \le 2$ is necessary, and $w \ge 0$ needs $a + bs\sqrt{1-\rho^2} \ge 0$
  - A steeper wing means fatter tails of S_T under Q (moment formula: Appendix)
- **Butterfly** (call prices convex in K, density $q \ge 0$), with $w' = \partial_k w$, $w'' = \partial_k^2 w$ Gatheral & Jacquier (2014): $g(k) \ge 0$ is exactly a nonnegative density
  - $g(k) = \left(1 - \frac{kw'}{2w}\right)^2 - \frac{w'^2}{4}\left(\frac{1}{w} + \frac{1}{4}\right) + \frac{w''}{2} \ge 0$ for all k, plus $d_+(k) = -k/\sqrt{w} + \sqrt{w}/2 \to -\infty$ as $k \to \infty$ (Gatheral & Jacquier (2014), Lemma 2.2)
- **Calendar**: $\partial_\tau w(k,\tau) \ge 0$ for every k: total variance cannot fall with maturity
- Slice-by-slice least squares imposes none of them; SSVI, the surface version of SVI, has simple sufficient conditions (Gatheral & Jacquier (2014), Theorems 4.1–4.2)

The Bitcoin Smile



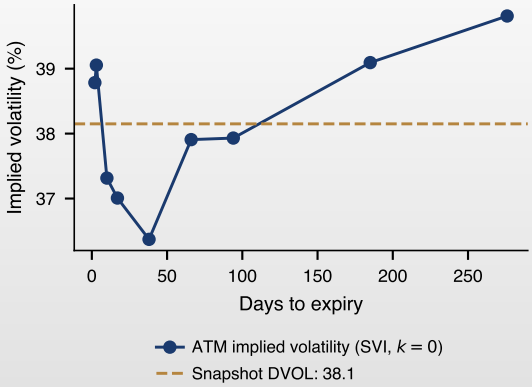
- Dots: mark implied volatilities of OTM options; lines: SVI fits, five expiries
  - Mark IV (implied volatility): the reference volatility computed by the exchange
- A true **smile**: both wings rise
  - Unlike the one-sided equity skew
  - Bitcoin can jump up as well as down Zulfiqar & Gulzar (2021)
- Short expiries have the steepest wings
  - A jump over a few days weighs more relative to $\sigma\sqrt{\tau}$
- SVI root mean squared error: at most 0.76 vol points
  - Puts slightly dearer than calls: skew from -5.2 to -0.3 vol points

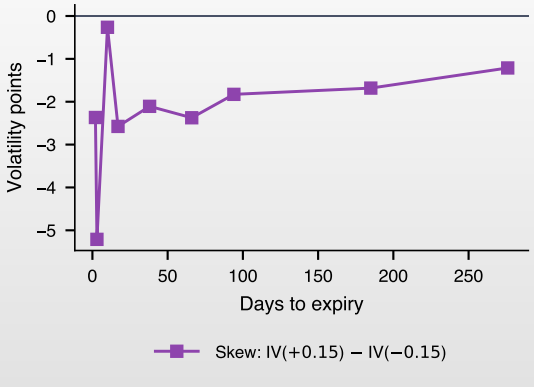
MFM_ch12_btc_smile

Are the Nine Bitcoin Fits Arbitrage-Free?

- Wings: largest slopes 0.31 (right) and 0.39 (left), far below 2: Lee's bound holds
- Butterfly: $\min_k g(k) > 0$ on the grid $k \in [-1.5, 1.5]$ for all 9 expiries (lowest 0.036, 27 November 2026)
- Calendar: 1 of 8 adjacent pairs crosses: w(2 October 2026) $>$ w(9 October 2026) on 24% of $k \in [-0.5, 0.5]$, by at most 0.0075
  - A calendar arbitrage created by the estimator, not quoted by the market: separate fits ignore the cross-expiry restriction
- Remedy: estimate the surface jointly under the constraints (SSVI, or least squares with $g \geq 0$ and $\partial_\tau w \geq 0$)

Term Structure and Skew





MFM_ch12_btc_term

Expiry, Skew and the DVOL Index

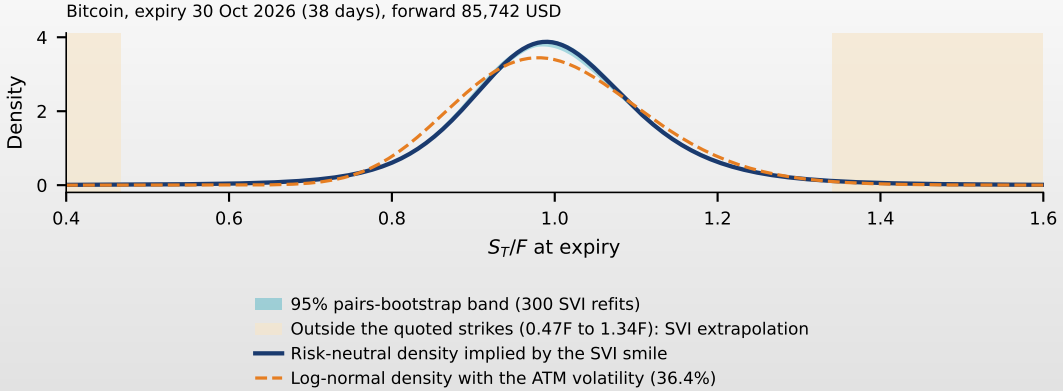
- Left: ATM implied volatility by expiry and the DVOL index; right: skew $=$ IV$(k = +0.15)-$ IV$(k = -0.15)$, with IV the implied volatility at that log-moneyness
- ATM between 36.4% and 39.8%; longest expiry (276 days) 39.8%: upward sloping, calm now and more uncertainty later
- DVOL 38.1 vs ATM 37.0% and 36.4% around 30 days: a variance-strip index need not lie between ATM volatilities
- Skew negative for 9 of 9 expiries, closest to 0 at long maturities; one snapshot is one day

MFM_ch12_btc_term

The Risk-Neutral Density: From Prices to a Density

- Recall Breeden & Litzenberger (1978) (Section 2): the risk-neutral density q of S_T is a second derivative of call prices
  - $q(K) = e^{r\tau}\,\partial^2 C(K)/\partial K^2$; $q \geq 0$ is the butterfly condition of Section 7
- From noisy, discrete quotes this is an ill-posed inverse problem: differentiating twice amplifies the noise; fit a smooth smile (SVI), then differentiate (other estimators: Appendix)
- Uncertainty: pairs bootstrap of the quotes, refit, differentiate: pointwise bands for q and intervals for tail probabilities
- Beyond the last quoted strike the data identify nothing: the tail is an extrapolation; report where the quotes end
- q mixes probabilities and risk aversion
  - Pricing kernel $\propto q/p$, with p the physical density Aït-Sahalia & Lo (1998), Grith, Härdle & Park (2013)
  - Its non-monotone shape is the pricing-kernel puzzle Jackwerth (2000)

What the Market Prices for Bitcoin (1/2)



MFM_ch12_btc_rnd

What the Market Prices for Bitcoin (2/2)

- Density from the SVI smile of the expiry closest to 30 days
  - 38 days, forward 85 742 USD, ATM 36.4%; 95% pairs-bootstrap band; log-normal benchmark
  - Shaded: outside the 56 quotes ($0.47F$ to $1.34F$)
- Fall of more than 30%: 1.21% $[1.08, 1.24]$ vs 0.14% log-normal, about 8 times more
  - Fall of more than 20%: 4.28% vs 3.27%; rise above 20%: 5.3% vs 5.3%
- Narrow band: $\pm 2.5\%$ at the centre, $\pm 8\%$ at $0.7F$
  - Smoothed mark volatilities: fitting noise, not bid–ask uncertainty
  - 0.13 of the 1.21 points lie below the lowest quoted strike
- Prices of insurance, not forecasts: they include the premium for crash risk

MFM_ch12_btc_rnd

Variance Swaps and the Option Strip

- A **variance swap** pays at T: notional $\times$ (realised variance $-$ strike K_{var})
  - Realised variance $\frac{252}{n}\sum r_t^2$, r_t: the n daily log returns to T
  - Fair strike: the risk-neutral expected variance Demeterfi, Derman, Kamal & Zou (1999)
  - $K_{var} = \frac{2e^{r\tau}}{\tau}\left(\int_0^F \frac{P(K)}{K^2}\,dK + \int_F^\infty \frac{C(K)}{K^2}\,dK\right)$ (spanning with $f = -2\ln(S/F)$, Section 2)
- Why it works: Itô on $\ln S$ (continuous paths, $r = q = 0$): $-2\ln(S_T/F) = \int_0^T \sigma_t^2\,dt - 2\int_0^T dS_t/S_t$, and the last term is a Q-martingale Britten-Jones & Neuberger (2000)
  - "Model-free" means free of a model for σ_t, not of continuity: with crash jumps the strip understates expected realised variance Carr & Wu (2009) (Appendix)
- Buyer of variance = insurance against turbulence; seller = earns a premium, pays in crashes Carr & Wu (2009)

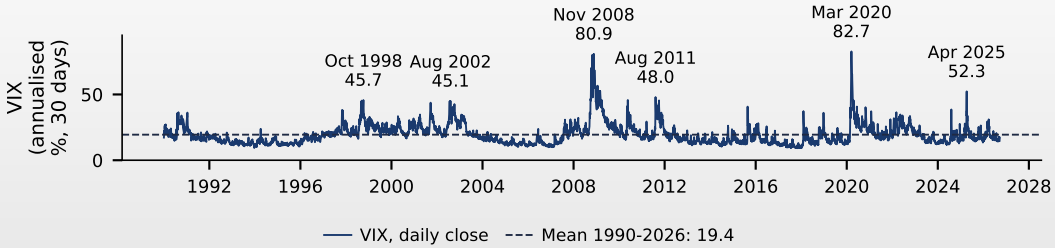
The VIX Index

- Cboe Volatility Index (VIX), since 1993; since 2003 computed from S&P 500 options with the variance-swap formula Cboe (2025)
  - $\sigma^2 = \frac{2}{T}\sum_i \frac{\Delta K_i}{K_i^2} e^{RT} Q(K_i) - \frac{1}{T}\left(\frac{F}{K_0} - 1\right)^2$, T: time to expiry in years; R: risk-free rate; F: forward index level; K_i: the strikes; K_0 = first strike at or below F; Q = bid–ask mid of the put for $K_i < K_0$, of the call for $K_i > K_0$, the average of both at K_0
  - $\Delta K_i = (K_{i+1} - K_{i-1})/2$, one-sided at the two ends: at the lowest (highest) strike, ΔK is the full gap to the next higher (lower) strike; options with a zero bid are dropped, and each wing stops after two consecutive zero bids
- Two expiries around 30 days, interpolated to exactly 30 days; VIX $= 100\,\sigma$
- VIX futures since 2004, VIX options since 2006 Cboe (2025); the "fear gauge" Whaley (2000)
- Siblings: VIX9D (9 days), VIX3M (3 months), VVIX (the VIX of the VIX)

Worked Example: a VIX for Bitcoin

- Cboe rules on our Deribit snapshot: USD mid Q = BTC mid $\times$ index S; F and $e^{RT} = F/S$ from Deribit's forward (Cboe: F from parity, R from Treasury yields)
  - Near expiry: 17 days, 26 OTM options, $\sigma = 39.5\%$; next expiry: 38 days, 56 OTM options, $\sigma = 40.2\%$
- Interpolate the total variances $\sigma_i^2 T_i$ linearly in time to 30 days:
  - $\sigma_{30}^2 = \frac{1}{30}\left[T_1\sigma_1^2 \frac{T_2 - 30}{T_2 - T_1} + T_2\sigma_2^2 \frac{30 - T_1}{T_2 - T_1}\right]$ (days)
- Our Bitcoin VIX: 40.0; Deribit's DVOL at the same moment: 38.1 Alexander & Imeraj (2020); both exceed the ATM volatilities: the variance swap also pays for the wings
- Truncation and strike spacing move the index by at most 0.6 vol points, less than the gap to DVOL (1.9): an index is an estimator, so report its sensitivity (Appendix; Seminar 12, A8)

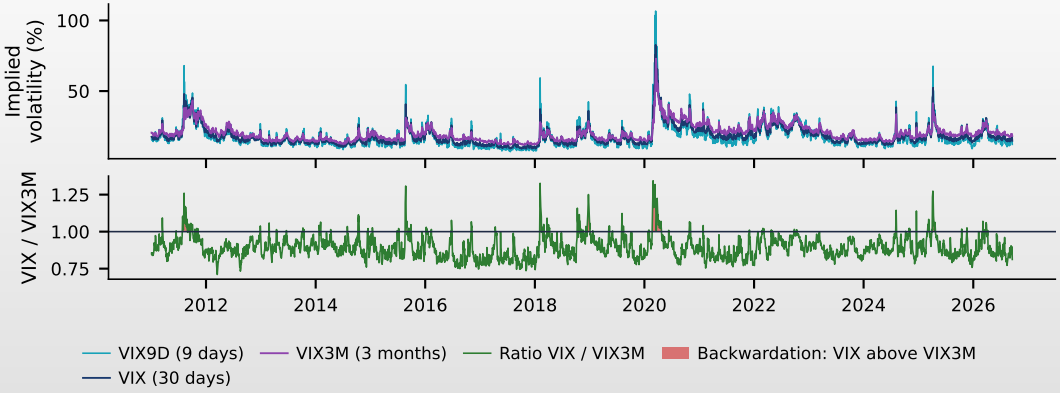
The VIX, 1990–2026



- Daily close with the six highest peaks at least 500 days apart
- Mean 19.4 (5.6% a month), range 9.1–82.7 (2020-03-16, COVID-19); above 30 on 7.9% of days: sudden spikes, slow decay, as in GARCH (Chapter 5)

MFM_ch12_vix_history

The VIX Term Structure (1/2)



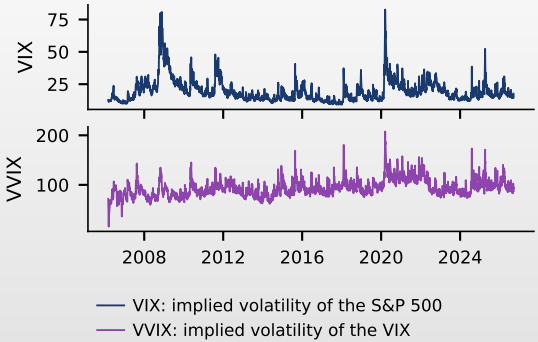
MFM_ch12_vix_term

The VIX Term Structure (2/2)

- Top: implied volatility, 9 days, 30 days, 3 months
  - Bottom: ratio VIX / VIX3M, 2011–2026
- Normally upward sloping (**contango**): mean VIX / VIX3M = 0.89; VIX9D below the VIX on 73% of days
- Inverted (**backwardation**) on 7.6% of days
  - Always in crises: fear is concentrated in the near term
- Next 21 days: after backwardation vs in contango
  - Return 2.88% vs 0.80%; realised volatility 26.7% vs 13.6%
  - High risk and high expected return after panics Bollerslev, Tauchen & Zhou (2009)

MFM_ch12_vix_term

The Volatility of Volatility



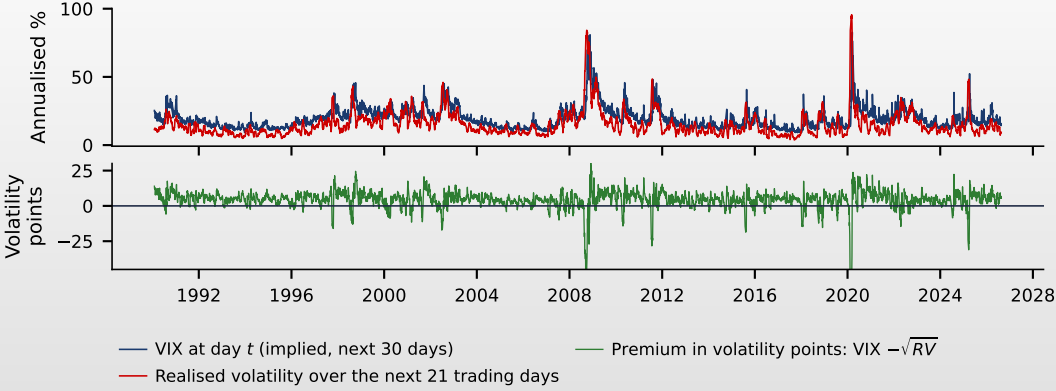
- VIX (top) and VVIX (bottom), daily closes, 2006–2026
- Mean VVIX 93.5
  - In relative terms, the VIX is expected to move about 5.3 times more than the index
  - How: 5.3 is the average of the daily ratio VVIX/VIX, 2006–2026 (not mean VVIX over mean VIX); both are annualised implied volatilities in %, VVIX of percentage changes of the VIX, VIX of percentage changes of the S&P 500
- Peak 207.6 on 2020-03-16, the day of the VIX peak
  - Daily changes of VIX and VVIX: correlation 0.71
- Volatility is itself random
  - The core of stochastic-volatility models such as Heston Heston (1993)

MFM_ch12_vvix

The Variance Risk Premium

- Variance risk premium (VRP) Carr & Wu (2009), Bollerslev, Tauchen & Zhou (2009); three versions that must not be confused:
  - **Economic (ex ante)**: $E_t^Q[RV_{t,t+\mathbf{21}}] - E_t^P[RV_{t,t+\mathbf{21}}]$; $VIX_t^{\mathbf{2}}$ estimates the first term, the second needs a forecast
  - **Ex post** (used here): $VIX_t^{\mathbf{2}} - RV_{t,t+\mathbf{21}}$, the realised P&L of the seller of a variance swap, known only at $t+21$
  - **Ex-ante proxy**: $VIX_t^{\mathbf{2}} - RV_{t-\mathbf{21},t}$, past variance as the forecast of E_t^P; known at t, so it can serve as a predictor (Section 11)
  - $RV_{t,t+\mathbf{21}} = \frac{\mathbf{252}}{\mathbf{21}} \sum_{i=\mathbf{1}}^{\mathbf{21}} r_{t+i}^{\mathbf{2}}$ (annualised, in $\%^{\mathbf{2}}$), r_{t+i} the daily log returns in %
  - The VIX covers 30 calendar days, $RV_{t,t+\mathbf{21}}$ the next 21 trading days: roughly the same month, an approximation (holidays and the 365- vs 252-day annualisation make the windows differ slightly)
- Positive on average if investors dislike states with high volatility, which are also bad states for wealth
- Overlapping 21-day windows are autocorrelated: Newey–West with at least 21 lags Newey & West (1987); persistent volatility can extend the dependence, so check longer bandwidths

Implied vs Realised Volatility, S&P 500 (1/2)



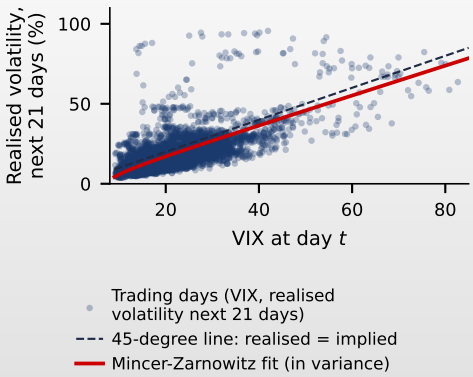
MFM_ch12_vrp

Implied vs Realised Volatility, S&P 500 (2/2)

- Top: VIX and the volatility realised over the next 21 trading days
  - Bottom: their difference, 1990–2026, labelled VIX − RV: there RV is the realised volatility $\sqrt{RV_{t,t+21}}$, in vol points, not the variance
- 9 203 days: mean VIX 19.4, mean realised 15.3
  - Premium 4.09 vol points (Newey–West standard error, s.e., 0.27)
  - In variance: 113 $\%^2$, $t = 5.5$
- Positive on 86% of days; the exceptions are crashes
  - Worst −72.0 vol points, window from 2020-02-20 (COVID-19)
- Same message as the delta-hedged option
  - Sellers of volatility are paid on average and lose in crises

MFM_ch12_vrp

Is the VIX a Good Forecast?



- Mincer–Zarnowitz Mincer & Zarnowitz (1969): $RV_{t,t+\mathbf{21}} = \alpha + \beta\, VIX_t^{\mathbf{2}} + \varepsilon_t$
  - Unbiased: $\alpha = 0$, $\beta = 1$; Newey–West errors, 21 lags
- $\hat{\alpha} = -51.9$ (34.4), $\hat{\beta} = 0.86$ (0.10), $R^{\mathbf{2}} = 0.37$
  - Separately neither differs from $(0, 1)$: $t = -1.51$ and -1.34
- But the estimates correlate -0.90
  - Joint Wald $\chi^{\mathbf{2}}_{\mathbf{2}} = 41.7$, $p = 8.9 \cdot 10^{-\mathbf{10}}$: unbiasedness rejected
  - Chart axes in volatility (%); the fit is estimated in variance and drawn back in volatility; most points lie below the 45-degree line
- Past realised variance alone: $R^{\mathbf{2}} = 0.29$
  - With both: VIX keeps its weight (0.77), past variance adds little (0.08, s.e. 0.13)

MFM_ch12_vix_rv_mz

Forecast-Evaluation Tools in Plain Words

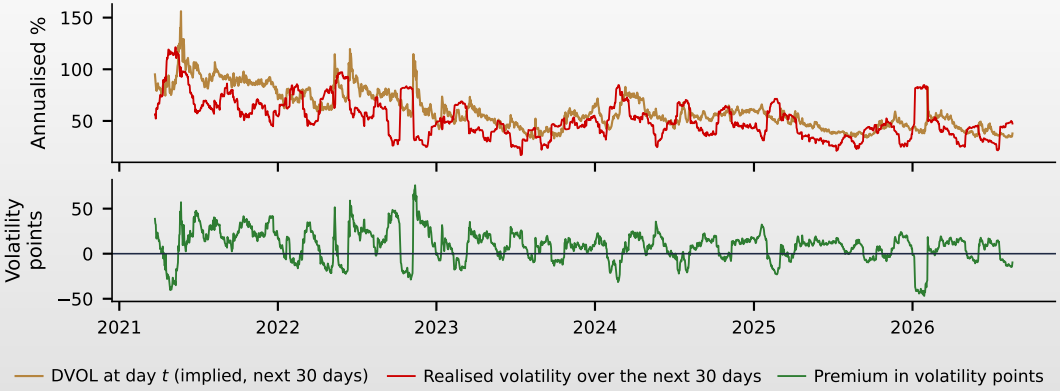
- **Deeper study.** In logs the VIX is close to an unbiased forecast, and out of sample it is not significantly better than a model built from past realised variance
- **Instrumental variables**: replace a regressor measured with error by its projection on an instrument that is correlated with it but not with the forecast error; the **first stage** is that projection, and a large first-stage t means a strong instrument
- **HAR-RV**: forecast the realised variance of the next month by a regression on its averages over the past day, week and month
- **QLIKE** loss $L = x - \ln x - 1$ with $x = RV/\hat{\sigma}^2$: zero for a perfect forecast, and it punishes forecasts that are too low more than forecasts that are too high
  - Toy check: $RV = 100$; forecast 50 gives $x = 2$, $L = 0.31$; forecast 200 gives $x = 0.5$, $L = 0.19$
- **Diebold–Mariano**: a t-test that the mean loss difference between two forecasts is zero, with a HAC standard error because overlapping targets make the differences autocorrelated

Logs, Instruments and HAR-RV: Inference Done Right

Specification	$\hat{\beta}$	s.e.	$t(\beta = 1)$	Note
Levels, OLS	0.86	0.10	-1.34	joint Wald $p = 8.9 \cdot 10^{-10}$
Logs, OLS	1.06	0.035	1.65	intercept -0.94, $R^2 = 0.57$
Logs, instrumental variables	1.02	0.042	0.60	first-stage $t = 37.7$

- Levels are dominated by 2008 and 2020; in logs the slope is close to 1 and the premium is a proportional shift (intercept < 0)
- VIX^2 measures expected variance with error, which attenuates the ordinary least squares (OLS) slope
  - Instrument: VIX^2 21 days earlier Christensen & Prabhala (1998); the slope barely moves
  - Valid only if the lag is uncorrelated with the forecast error (untestable with one instrument)
- Against the heterogeneous autoregressive model HAR-RV Corsi (2009)
  - In sample the HAR terms add information: $\chi^2_3 = 14.2$, $p = 0.003$
  - Out of sample from 2000: VIX about 6% better in QLIKE (quasi-likelihood) loss, Diebold–Mariano $p = 0.35$ Diebold & Mariano (1995): not significant
  - Test details: ▸ Appendix

The Variance Risk Premium of Bitcoin (1/2)



MFM_ch12_vrp_btc

The Variance Risk Premium of Bitcoin (2/2)

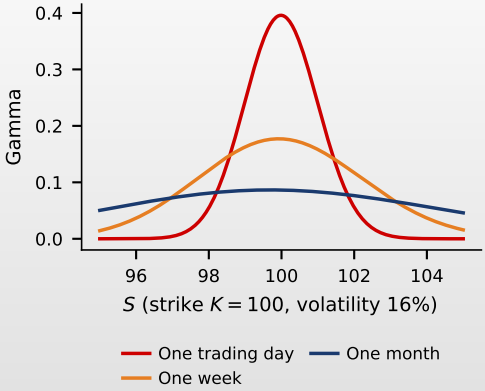
- Top: DVOL and Bitcoin volatility realised over the next 30 calendar days (Bitcoin trades every day)
  - Bottom: their difference, 2021–2026
- 1 975 days: mean DVOL 60.3 vs realised 51.7
  - Premium 8.5 vol points (s.e. 1.6, $t = 5.3$)
  - About 2.1 times the S&P 500 premium in vol points, but smaller relative to the level: 14% of mean DVOL vs 21% of mean VIX (implied/realised 1.16 vs 1.27; different sample periods)
- Positive on 71% of days, less often than the S&P 500
  - Worst -46.9 vol points (window from 2026-01-28)
- Short sample: 66 non-overlapping 30-day periods
  - A Bitcoin VIX and its premium: Alexander & Imeraj (2020)

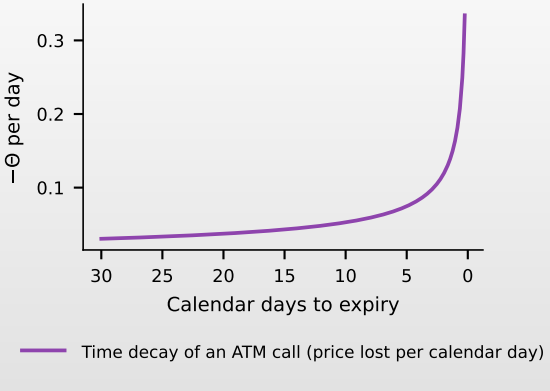
MFM_ch12_vrp_btc

Options That Live One Day

- **0DTE** (zero days to expiry) options: traded on the day they expire Cboe 0DTE
  - S&P 500 options now expire every trading day, so a 0DTE contract exists every day
- More than 75% of retail trades in S&P 500 options involve 0DTE contracts, and retail investors lose money on them Beckmeyer, Branger & Gayda (2023)
  - 0DTE options were 48% of index-option trading in August 2023 Brogaard, Han & Won (2023)
- More 0DTE trading is followed by higher index volatility Brogaard, Han & Won (2023)
  - Mostly through speculative retail trades
  - Ultra-short pricing needs skewness and kurtosis corrections Bandi, Fusari & Renò (2023)
- Theory from Section 4: with $\tau \to 0$ gamma and theta explode at the money

Gamma and Time Decay Near Expiry (1/2)





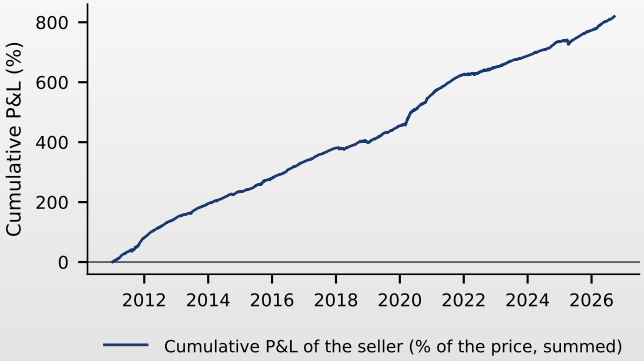
MFM_ch12_0dte_gamma

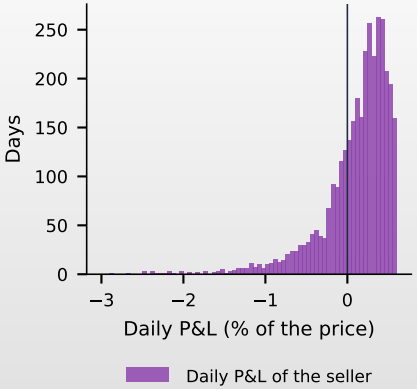
Gamma and Time Decay Near Expiry (2/2)

- Left: gamma of a call with $K = 100$ one day, one week and one month before expiry; right: daily time decay of an ATM call
- Inputs: $S = K = 100$, $\sigma = 16\%$, $r = 0$; gamma counts trading days ($\tau = 1/252$ and $21/252$), time decay counts calendar days ($\tau = 1/365$ and $30/365$), as on the two axes
- ATM gamma one day before expiry 0.396 vs 0.086 one month before: 4.6 times larger ($= \sqrt{21}$); a 1% move in the last day changes delta by about 0.4
- Time decay 0.167 in the last day vs 0.030 with 30 days left, about 5.5 times more: the seller collects fast decay and carries large gamma risk
  - 0.167 is the decay *rate* per day at the start of the last day ($\sqrt{30} \approx 5.5$ times the 30-day rate); the ATM value, about $0.4\, S\sigma\sqrt{\tau} = 0.33$, is lost entirely during that day, roughly twice the starting rate

MFM_ch12_0dte_gamma

Selling a Same-Day Straddle: a Stylised Test (1/2)





MFM_ch12_0dte_straddle

Selling a Same-Day Straddle: a Stylised Test (2/2)

- SPY, 2011–2026: sell an ATM straddle at the open, settle at the close; premium $= \sqrt{2/\pi}\,\sigma_{day} S$, σ_{day} from the previous VIX9D scaled to the session (share 0.74 of daily variance, estimated on 1993–2010)
- 3 950 days: mean premium 0.76% vs mean absolute move 0.55%; the seller wins on 75% of days, 20.7 basis points a day
- Worst day -8.25% (2025-04-09), about 11 premia; stylised pricing measures the premium inside VIX9D, not traded 0DTE prices Bandi, Fusari & Renò (2023), Beckmeyer, Branger & Gayda (2023)

MFM_ch12_0dte_straddle

Case Study: the Research Question

- **Questions** Back, Crotty & Kazempour (2022): option prices give lower bounds on the equity premium
  - are these bounds valid conditionally?
  - are they tight conditionally?
  - do they forecast returns out of sample?
- Why: a tight bound is a real-time equity-premium forecast with no estimated parameter; Martin (2017) could not reject $\alpha = 0$, $\beta = 1$ on 1996–2012, a test with low power
- **Martin bound** (eq. 3), $R_{t,T}$ the gross market return, $R_{f,t,T}$ the gross riskless return, var_t^* the risk-neutral variance ($\mathrm{SVIX}^2_{t,T}$ not annualised here):
  - $E_t[R_{t,T}] - R_{f,t,T} \geq R_{f,t,T}\,\mathrm{SVIX}^2_{t,T}, \qquad \mathrm{SVIX}^2_{t,T} = \mathrm{var}^*_t(R_{t,T}/R_{f,t,T})$
  - Valid if $\mathrm{cov}_t(M_{t,T}R_{t,T}, R_{t,T}) \leq 0$ ($M_{t,T}$ the stochastic discount factor); tight if this covariance is zero, e.g. a log-utility investor who holds the market
- **Chabi-Yo–Loudis bound** Chabi-Yo & Loudis (2020): built from the first four risk-neutral moments, free of preference parameters in its restricted form; almost always above the Martin bound (Figure 3.1)
- **Link to this chapter**: SVIX is the static-spanning strip with $f = S^2$ (Section 2 and Appendix)
  - Realised slackness $s_{t,T} = R^e_{t,T} - b_{t,T}$ (excess return minus bound): valid means $E_t[s_{t,T}] \geq 0$, tight means $E_t[s_{t,T}] = 0$

The Case-Study Tests in Plain Words

- **Deeper study.** The bounds are not rejected as valid; they are rejected as tight at 1–6 months (at 12 months only by the asymptotic test), the bound being less than half of the realised premium; and they do not beat the historical mean out of sample
- **Kodde–Palm** D_1: the Σ^{-1}-weighted squared distance from the vector of sample moments to the region where all moments are ≥ 0; $D_1 = 0$ if all are already positive. D_2: how far the moments are from all being zero, beyond D_1; a large D_2 rejects tightness
  - Toy check with two moments and $\Sigma = I$: $\bar{\lambda} = (0.5, -0.2)$ gives $D_1 = 0.2^2 = 0.04$ and $D_2 = 0.29 - 0.04 = 0.25$; with $\bar{\lambda} = (0.5, 0.2)$, $D_1 = 0$ and $D_2 = 0.29$
- **Mixture of χ^2 laws**: under H_0 some inequality constraints bind and others do not, so the null law weights $\chi^2_0, \ldots, \chi^2_{10}$; Kodde & Palm (1986) tabulate lower and upper bounds for its critical values
- **Hansen–Hodrick covariance**: a HAC covariance that keeps, with equal weights, exactly the autocovariances created by the overlap of the return windows
- **Amihud–Hurvich correction**: a persistent predictor biases the OLS slope of a predictive regression (Stambaugh bias); the correction adds as a regressor the innovation of the predictor, estimated from a bias-corrected AR(1), reducing the bias

Case Study: Data and Method

- **Data** (Section 3, Appendix C of the paper; filters: Appendix)
  - Daily Martin and Chabi-Yo–Loudis bounds, January 1990 – December 2020, from S&P 500 index options, interpolated to 30, 90, 180 and 360 days
  - S&P 500 excess returns over 21, 63, 126 and 252 trading days, annualised, in %
- **Moments** (eq. 10): for any nonnegative z_t known at t, $E[(R^e_{t,T} - b_{t,T})\, z_t] \geq 0$; z_t = a constant and nine Welch–Goyal predictors made positive Welch & Goyal (2008) (Table 3)
- **Kodde–Palm tests** Kodde & Palm (1986) (eqs. 11–14)
  - $\bar{\lambda}$: the 10 sample means; Σ: their Hansen–Hodrick covariance Hansen & Hodrick (1980), lags = days in the horizon
  - $D_1 = \min_{\lambda \geq 0}(\lambda - \bar{\lambda})^\top \Sigma^{-1} (\lambda - \bar{\lambda})$ tests validity (H_0: $\lambda_0 \geq 0$)
  - $D_2 = \bar{\lambda}^\top \Sigma^{-1} \bar{\lambda} - D_1$ tests tightness (H_0: $\lambda_0 = 0$ vs $\lambda_0 \geq 0$); both follow mixtures of χ^2 laws
- **Forecasting**: bias-corrected predictive regressions Amihud & Hurvich (2004) (Tables 5, 6) and monthly out-of-sample forecasts against the historical mean (Table 8; R^2_{OS}: out-of-sample R^2 against the historical mean; protocol: Appendix)

Case Study: Results (Tables 1, 3, 5, 6 and 8)

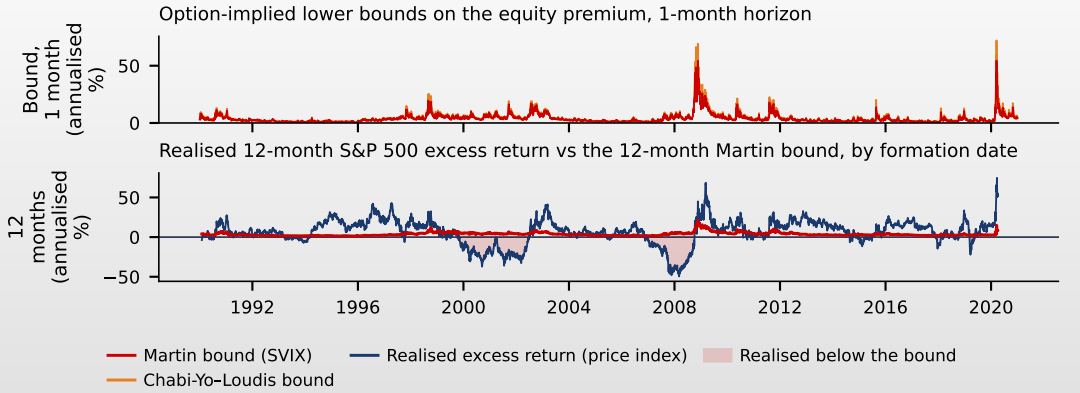
Horizon	Mean R^e (%)	Mean b (%)	D_1	D_2	$\hat{\beta}$ (s.e.)	R^2_{OS} (%)
1 month	8.76	3.81	0.00	29.93	1.36 (1.23)	−1.2
3 months	8.73	3.86	0.00	39.51	1.39 (1.47)	−1.2
6 months	8.67	3.83	0.00	49.28	1.78 (0.85)	−0.2
12 months	8.86	3.68	0.00	71.21	1.04 (0.88)	−3.0

- Source: Back, Crotty & Kazempour (2022), *Journal of Financial Economics*, Tables 1, 3, 5, 6 and 8
- **Validity not rejected**: all 10 sample moments are positive, so $D_1 = 0$ and $p = 100\%$ at every horizon; this does not prove validity in every state
- **Not tight**: D_2 exceeds 27.13, the upper 0.1% Kodde–Palm critical value, at every horizon (finite-sample p: 3.6, 0.4, 2.6, 8.3%); mean slackness 4.8 to 5.2 points a year: the bound is less than half of the realised premium
- **Forecasting**: slopes positive but imprecise (Table 5)
  - With the nine predictors as controls: a one-s.d. rise in the 12-month bound, a 6.6-point higher 12-month excess return (Table 6)
  - Bootstrap p-values 20.7, 0.0, 0.2, 9.5%
- **Out of sample**: the Martin bound loses to the historical mean at every horizon; the best case, Chabi-Yo–Loudis at 6 months, reaches 4.3%, not significant (Table 8): low power is one possible explanation

Case Study: Do the Two Tightness Tests Agree?

- Same D_2, two yardsticks: the asymptotic Kodde–Palm critical value (27.13 at 0.1%) rejects tightness at every horizon; the finite-sample p-values 3.6, 0.4, 2.6, 8.3% reject at 5% at 1, 3 and 6 months, but not at 12 months
  - Headline, stated with care: not tight at 1–6 months on both tests; at 12 months only the asymptotic test rejects
- Why the two can disagree: 1990–2020 holds only about 31 non-overlapping 12-month windows, and the moments use persistent predictors; the HAC covariance Σ is then imprecise and asymptotic critical values can be too small
  - The finite-sample p is the more cautious reading; report both, never only the one that rejects (Seminar 12, C3)
- The mean slackness of 4.8–5.2 points a year does not depend on the test: economically, the bound covers less than half of the realised premium with dividends (Table 1) at every horizon

Case Study: the Bound and the Realised Premium (1/2)



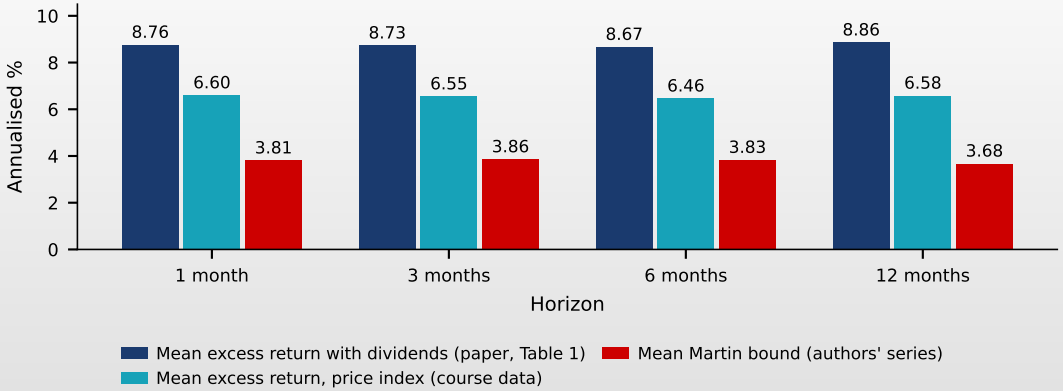
MFM_ch12_bck_bounds

Case Study: the Bound and the Realised Premium (2/2)

- Top: the authors' daily 1-month bounds, 1990–2020 (replication package)
  - Bottom, course data: 12-month excess return of the S&P 500 price index vs the 12-month Martin bound
- 1-month bound: median 2.7%, peak 54.4% (16 March 2020)
  - 12-month peak 21.1% (20 November 2008): a risk-neutral variance, it jumps with the VIX in crises
- Chabi-Yo–Loudis $\geq$ Martin on 99.99% of days
  - Negative skewness and fat tails raise it
- Realised 12-month excess return below the bound on 33% of dates
  - 2000–2002, 2007–2008: the bound restricts $E_t[R^e_{t,T}]$, not each realisation
- Correlation bound–realised 0.15 (overlapping, descriptive)
  - Return noise dwarfs the bound: imprecise slopes, negative R^2_{OS}

MFM_ch12_bck_bounds

Case Study: Mean Premium and Mean Bound (1/2)



MFM_ch12_bck_bounds

Case Study: Mean Premium and Mean Bound (2/2)

- Dark blue: Table 1 of the paper (S&P 500 with dividends); teal: course data (price index, the same formation days: 7789 at 1 month, 7598 at 12 months); red: mean of the authors' Martin bound
- Mean slackness on the course data 2.79, 2.69, 2.63, 2.91 points a year vs 4.8–5.2 in the paper: the gap of 2.2–2.3 points is mostly the missing dividend yield
- The mean bound covers 41–44% of the premium with dividends, 56–59% of the price-index premium; single realisations fall below it on 41% of days at 1 month (12 months: the bound and realised premium slides above), the average never (Seminar 12, C3)

MFM_ch12_bck_bounds

Case Study: Replication, Limitations and an Open Extension

- **Replicate** (Seminar 12, C3)
  - Data: the authors' daily bound series (replication package), S&P 500 daily closes of the course data
  - The daily risk-free rate (Kenneth French Data Library); the Welch–Goyal predictors (Amit Goyal's data page)
  - Rebuild Table 1 and D_1, D_2 of Table 3; the course index has no dividends, so excess returns and slackness are lower: a data limitation
- **Limitations stated by the authors**
  - A short series, limited to the years after 1990 by the need for option prices: the out-of-sample tests have little power (Section 6)
  - Validity holds even when the bound is replaced by its time-series mean, so it says nothing about predictive power (Section 4.3)
  - More recent bounds and formulas for risk premia are not tested (Introduction)
- **Open extension**: the course data have VIX, not SVIX; VIX weights OTM options by $1/K^2$ and exceeds SVIX when the left tail is priced (Martin (2017), Result 3)
  - is the Martin bound still valid on 2021–2026 (the 2022 bear market, the 0DTE era of Section 9)?
  - is a VIX-based bound still valid?
  - if not, can the Kodde–Palm test detect it?

Predictive-Regression Tools in Plain Words

- **Deeper study.** Extending the VRP analysis of Section 8: a published result replicates in its own sample, the slope shrinks when the sample is extended to 2026, and the out-of-sample test does not reject its null
- **Hodrick 1B** Hodrick (1992): instead of regressing overlapping h-month returns on VRP_t, regress the one-month return on the sum of the last h values of the regressor; the overlap moves to the regressor side, and the errors are no longer overlapping
- $R^2_{OS} > 0$: the predictive model has a lower mean squared forecast error than the historical mean; **Clark–West** Clark & West (2007) tests this for nested models, adjusting for the noise that estimating a truly zero slope adds to the larger model
- **Holm correction** for m tests (e.g. four horizons): sort the p-values, compare the smallest with α/m, the next with $\alpha/(m-1)$, and so on; stop at the first that fails
  - Toy check: $p = 0.01, 0.03, 0.04$, $\alpha = 0.05$, $m = 3$: $0.01 < 0.0167$ rejects, $0.03 > 0.025$ stops, so only one hypothesis is rejected, although all three $p < 0.05$

An Open Question: Does the VRP Still Predict Returns?

- Bollerslev, Tauchen & Zhou (2009), Table 2: monthly data 1990–2007, $y_t^{(h)} = \frac{12}{h}\sum_{j=1}^{h}(r_{m,t+j} - r_{f,t+j})$ on $\mathrm{VRP}_t = \mathrm{VIX}_t^2/12 - \mathrm{RV}_t$
  - RV_t: realised variance of month t; at $h = 3$: slope 0.47, Hodrick $t = 2.86$, adjusted $R^2 = 6.82\%$, the peak of a hump-shaped horizon profile
  - Units: $\mathrm{VIX}_t^2/12$ and RV_t are both monthly, not annualised, $\%^2$; in the course replication RV_t is the sum of squared daily log returns (in %) within month t. Section 8 used annualised $\%^2$, a factor 12 larger
- Goyal, Welch & Zafirov (2024): 29 equity-premium predictors proposed after 2008, re-examined with data to 2021: over one third lose in-sample significance, half of the rest fail out of sample
- Open: is VRP predictability a stable price of variance and jump risk, or a property of 1990–2007? The 2008–2026 sample adds two crashes and the 0DTE era
- Formally: $H_0 : \beta_3 = 0$ vs $H_1 : \beta_3 > 0$ in $y_t^{(3)} = \alpha + \beta_3 \mathrm{VRP}_t + u_t$
  - Out of sample: H_0: the VRP forecast does not lower the mean squared prediction error of the historical mean; Clark–West statistic Clark & West (2007)

The Discovery Loop and What the Researcher Must Check

- **Literature**: ask an assistant for peer-reviewed tests of VRP predictability since 2009 (DOI: digital object identifier; sample; table)
  - Check: resolve every DOI on Crossref and compare the cited table with the paper, digit by digit
- **Hypotheses**: time-varying risk aversion, jump-risk compensation, or a small-sample artefact of persistent regressors and overlapping returns
  - Check: each must imply something testable for the horizon profile, for 2008–2026 and for non-US markets
- **Data and code**: build $\text{VIX}^2/12$ and monthly RV from the daily VIX and S&P 500 closes of the course data, reproduce Table 2 ($h = 3$) before extending anything
  - Check timing (VIX at the end of month t, returns from $t + 1$) and match the published means (implied 33.23, realised 14.93)
- **Robustness and critique**: a dated pre-analysis plan (horizons, start date, benchmark, Holm correction); a hostile-referee prompt
  - Check overlap (Hodrick errors Hodrick (1992)), horizon and start-date mining (R^2_{OS} against the start date), the weight of 2008 and 2020; full prompts: Appendix

Mini-Case: Replicate, Then Extend

- A typical assistant proposal: "the VRP predicts the quarterly equity premium; extend the 2009 result to today". We test it on the course data
- Replication, February 1990 to September 2007, $h = 3$, daily data: $\hat{\beta}_3 = 0.42$, $t_{\text{Hodrick}} = 2.25$, adjusted $R^2 = 4.6\%$ (published: 0.47, 2.86, 6.82%)
  - Mean implied variance 33.1 is close to 33.23; mean realised 20.6 vs 14.93: daily close-to-close data, a stated limitation
- Extension to May 2026 (436 months): $\hat{\beta}_3 = 0.09$, $t_{\text{Hodrick}} = 1.33$, adjusted $R^2 = 1.0\%$; all horizons with four kinds of standard errors: Appendix
- Out of sample from January 2008: 221 expanding-window forecasts
  - $R^2_{OS} = 1 - \sum_t (y_t - \hat{y}_t)^2 / \sum_t (y_t - \bar{y}_t)^2 = -22.2\%$ Campbell & Thompson (2008); $\bar{y}_t$: historical mean up to t
  - Clark–West $t = 0.64$ ($p = 0.26$): H_0 not rejected
- Reading: sign and size replicate in-sample; the longer sample does not support stable predictability. Outliers, measurement or a vanished premium: that is the open part

MFM_ch12_ai_discovery

Your Turn: a Project on the VRP After 2008

- Questions
  - does the VRP predict the equity premium after 2008?
  - does the Bitcoin premium of Section 8 (DVOL) predict Bitcoin returns?
- Replicate first: Bollerslev, Tauchen & Zhou (2009), Table 2, $h = 3$ (the published numbers of the open question); explain every gap
- Deliverables
  - A dated pre-analysis plan; the replication table; out-of-sample results for all horizons with a Holm correction
  - Robustness (subsamples, without 2008 and 2020); a referee-style critique and your reply
  - Optional: realised variance from 5-minute returns, only if you have access to intraday data; the course data table has no intraday series
- Log each prompt that shaped a decision in `AI_USE.md`; each invented reference, wrong number or look-ahead caught in `AI_ERRORS.md`, with the test that caught it (templates)

What Option Prices Measure, and Their Limits

- Parity, bounds and static spanning need no model; the tree and the Black–Scholes equation price by dynamic replication
- The Greeks measure exposures; discrete hedging leaves an error of order $1/\sqrt{N}$
- A delta-hedged option is a bet on realised vs implied variance; implied variance exceeded realised variance on average on the S&P 500 and on Bitcoin
- The surface and the risk-neutral density are estimates: impose no-arbitrage constraints and report bands
- The VIX is a strip estimator with jump and truncation biases; as a forecast it needs joint tests, logs and HAC loss comparisons
- Option-implied bounds on the equity premium are valid but not tight in 1990–2020: evidence rests on average slackness, not on forecasting power
  - "Valid" means not rejected; "not tight" holds at 5% on finite-sample tests at 1–6 months, at 12 months only on the asymptotic test

Check your understanding

- ⊡ Which pricing restrictions follow from no arbitrage alone? Distinguish them from Black–Scholes assumptions. Revisit.
- ⊡ Why can a delta-hedged option still lose money? Explain discrete rebalancing and realised versus implied variance. Revisit.
- ⊡ Does a fitted smile automatically exclude arbitrage? Name a constraint and explain how it is checked. Revisit.
- ⊡ Is a risk-neutral density a forecast of real-world frequencies? Explain the difference before interpreting tail probabilities. Revisit.
- ⊡ Why is $s/\sqrt{n}$ wrong for a mean over overlapping 21-day windows, and what replaces it? Revisit.
- ⊡ How can two small t-statistics coexist with a large joint Wald statistic? Revisit.

Open Questions in Option Research

- **Frontier**
  - Andersen, Fusari & Todorov (2015): a left-tail factor in index-option surfaces, not spanned by volatility, predicts future equity and variance premia
  - Bali et al. (2023): nonlinear machine learning on option and stock characteristics predicts equity-option returns out of sample
  - Open: jointly estimated, arbitrage-free surfaces with valid confidence bands; the pricing of 0DTE options
- **Next**: Chapter 13, machine learning for financial prediction, with volatility and option-implied features among the inputs
- **Further reading**
  - Textbooks: Franke, Härdle & Hafner (2019), Härdle, Chen & Overbeck (2017), Čížek, Härdle & Weron (2011), Gatheral (2006)
  - Pricing kernels: Aït-Sahalia & Lo (1998), Grith, Härdle & Park (2013); crypto options: Matic, Packham & Härdle (2023), Alexander & Imeraj (2020), Pele et al. (2023)
  - Quantinar: XFG Advanced Methods in Quantitative Finance, Pricing Kernels and Risk Premia, Hedging Cryptocurrency Options
  - Quantlets: github.com/danpele/MFM/tree/main/Quantlets/Ch_12

Proof of Spanning, Moments and SVIX

- Proof for $S_T > F$: $\int_F^{S_T} f''(K)(S_T - K)\,dK = f(S_T) - f(F) - f'(F)(S_T - F)$ by parts; the put integral vanishes; symmetric for $S_T < F$
- Take $e^{-r\tau}E^Q[\cdot]$ with F the forward (a forward contract costs 0): a bond, a forward and a strip of OTM options with weights $f''(K)$ replicate any smooth pay-off
- **Moments**: $f = [\ln(S/F)]^n$, $n = 2, 3, 4$, price the raw risk-neutral moments of the log return; centring and standardising gives volatility, skewness and kurtosis Bakshi, Kapadia & Madan (2003)
- **SVIX** Martin (2017), from $f = S^2$: $\mathrm{SVIX}_t^2 = \dfrac{2}{\tau R_f S_t^2}\left[\displaystyle\int_0^F P\,dK + \int_F^\infty C\,dK\right] = \mathrm{var}_t^Q(R_T/R_f)/\tau$, with R_T, R_f gross returns
  - SVIX^2 gives the Martin lower bound on the equity premium (case study, Section 10)

Back

Why $1/\sqrt{N}$? The Discrete Hedging Error

- Over one interval $\Delta t = T/N$ the hedged book earns $\frac{1}{2}\Gamma S^2\left[\sigma^2\Delta t - (\Delta S/S)^2\right]$: time decay against realised squared return
- Mean 0 under the model to leading order in Δt; $\mathrm{Var}[(\Delta S/S)^2] \approx 2\sigma^4\Delta t^2$ and the terms are approximately uncorrelated, so $\mathrm{Var}(\text{error}) \approx \frac{1}{2}\sigma^4\Delta t\, E\int_0^T \Gamma_t^2 S_t^4\, dt$
- ATM call: $E[\Gamma_t^2 S_t^4] \approx \dfrac{K^2}{2\pi\sigma^2\sqrt{T^2 - t^2}}$ integrates to $K^2/(4\sigma^2)$, so s.d. $\approx \sigma K\sqrt{T/(8N)} = \sqrt{\pi/4}\,\mathcal{V}\sigma/\sqrt{N}$
  - With vega $\mathcal{V} = 19.72$ per unit; the comparison with the simulation is on the main slide
  - The last equality holds exactly for the vega at $d_1 = 0$, $\mathcal{V}_0 = K\sqrt{T}\,\varphi(0)$; here $d_1 = 0.15$ and $\mathcal{V} = \varphi(0.15)/\varphi(0)\,\mathcal{V}_0 = 0.989\,\mathcal{V}_0$, so at $N = 12$ the two forms give 1.02 and 1.01
- Asymptotic theory of the replication error: Bertsimas, Kogan & Lo (2000); it fails with jumps (the error does not vanish as $N \to \infty$), with stochastic volatility (vega risk) and with costs
- Derivation of the gamma moment.

Back

The Gamma Moment Behind the $1/\sqrt{N}$ Law

- ATM call, $S_0 = K$, $r = 0$, remaining time $\tau = T - t$: $\Gamma_t S_t^2 = S_t\,\varphi(d_1)/(\sigma\sqrt{\tau}) \approx K\varphi(d_1)/(\sigma\sqrt{\tau})$, with $d_1 \approx X/(\sigma\sqrt{\tau})$ and $X = \ln(S_t/K) \sim N(0, \sigma^2 t)$
- Gaussian integral: $E[\varphi(d_1)^2] = \dfrac{1}{2\pi} E\left[e^{-X^2/(\sigma^2\tau)}\right] = \dfrac{1}{2\pi}\sqrt{\dfrac{\tau}{\tau + 2t}}$, and $\tau + 2t = T + t$
- Hence $E[\Gamma_t^2 S_t^4] \approx \dfrac{K^2}{2\pi\sigma^2}\,\dfrac{1}{\sqrt{(T-t)(T+t)}} = \dfrac{K^2}{2\pi\sigma^2\sqrt{T^2 - t^2}}$, and $\displaystyle\int_0^T \frac{dt}{\sqrt{T^2 - t^2}} = \frac{\pi}{2}$ gives the integral $K^2/(4\sigma^2)$
- Check with the course numbers ($\sigma = 0.2$, $K = 100$, $T = 0.25$, $N = 12$): $\sigma K\sqrt{T/(8N)} = 20\sqrt{0.25/96} = 1.02$, simulated 0.96

Back

The Moment Formula for the Wings

- Moment formula of Lee (2004): $\beta_R = \limsup_{k\to\infty} w(k)/k \in [0,2]$ and $\tilde{p} = \frac{1}{2\beta_R} + \frac{\beta_R}{8} - \frac{1}{2}$
  - $\tilde{p} = \sup\{p : E^Q[S_T^{1+p}] < \infty\}$: a steeper wing means fatter tails; the left wing mirrors it with negative moments
- Bitcoin: the largest right slope 0.305 gives $\tilde{p} = 1.18$; a property of SVI's linear extrapolation beyond the last strike, not of the data
- For SVI a right-wing slope below 2 also gives the tail condition $d_+(k) \to -\infty$ of Gatheral & Jacquier (2014), Lemma 2.2

Back

Estimators of the Risk-Neutral Density

- Fit a smile (SVI) and differentiate the implied call prices twice, as in the lecture
- Kernel regression of C on (K, τ) Aït-Sahalia & Lo (1998); the same under monotonicity and convexity in K Aït-Sahalia & Duarte (2003)
- Smoothness-penalised implied trees Jackwerth & Rubinstein (1996); shape-invariant pricing kernels Grith, Härdle & Park (2013)
- Tails beyond the quotes: SVI wings or an extreme-value tail; either way an assumption, not an estimate

Back

What the Strip Measures When Prices Jump

- With jumps J: the strip prices $\int \sigma_t^2 dt + 2\sum(e^J - 1 - J)$, but realised variance is $\int \sigma_t^2 dt + \sum J^2$
  - Gap $2E^Q \sum(e^J - 1 - J - J^2/2) \approx E^Q \sum J^3/3$: negative for crashes, so the strip understates expected realised variance Carr & Wu (2009)
- Merton model of Section 6 (one jump a year, mean -8%): strip 17.82 vs $\sqrt{E^Q[\mathrm{QV}]} = 18.00$ vol points, -2.0% in variance (QV: quadratic variation, the realised variance including jumps)

Back

Truncation and Discretisation of the Bitcoin Index

- Only a finite set of strikes is quoted: truncating the strip biases the index down, a coarse grid biases it up Jiang & Tian (2005)
- Bitcoin, same two expiries, 30-day index: quoted strikes 40.03; SVI prices at the same strikes 39.99
  - SVI on a dense grid inside the quoted range 39.78; extended to $k \in [-4, 4]$ with the SVI wings 40.34
- The near expiry is quoted only from $0.76F$ to $1.17F$: its volatility rises from 39.05 to 40.00 when the wings are added
- The rest of the gap to DVOL reflects its quote selection and methodology, not quantified here

Back

Encompassing and Out-of-Sample Tests

- HAR-RV Corsi (2009): regressors are the realised variance averaged over the last 1, 5 and 22 trading days (daily, weekly, monthly); encompassing regression in logs Busch, Christensen & Nielsen (2011)
  - The target is $RV_{t,t+21}$ over the next 21 days: 22 is a look-back window, 21 the forecast horizon
  - VIX slope 0.90 (0.056); R^2: VIX 0.570, HAR 0.474, both 0.575
- Out of sample from 2000 (6 697 days; coefficients re-estimated every 21 days on targets already observed)
  - QLIKE loss $L = RV/\hat{\sigma}^2 - \ln(RV/\hat{\sigma}^2) - 1$, robust to noise in the RV proxy Patton (2011)
  - Loss ratio VIX^2 / HAR: 0.94, Diebold–Mariano $t = -0.93$ ($p = 0.35$) Diebold & Mariano (1995); VIX corrected by the Mincer–Zarnowitz regression: 0.95 ($p = 0.35$)
- Targets overlap by 20 of 21 days: the Diebold–Mariano variance is HAC with 21 lags; instrumental variables by just-identified generalized method of moments (GMM) with a HAC covariance

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Does the Ex-Ante VRP Predict Returns? Overlapping-Horizon Inference

Horizon	$\hat{b}$	t_{NW}	t_{HH}	$t_{Hodrick}$	p_{boot}	R^2 (%)
$h = 1$	0.07	0.33	0.36	0.41	0.35	0.2
$h = 3$	0.09	0.69	0.67	1.33	0.07	1.2
$h = 6$	0.03	0.49	0.48	0.65	0.26	0.3
$h = 12$	−0.02	−0.64	−0.79	−0.54	0.69	0.2

- Monthly 1990–2026: $\frac{12}{h}\sum_{j=1}^{h} r^e_{t+j} = a + b\,\mathrm{VRP}_t + u_t$, $\mathrm{VRP}_t = VIX_t^2/12 - RV_t$, ex-ante proxy with past RV_t as the forecast; r^e_{t+j}: S&P 500 excess return of month $t+j$, h: horizon in months Bollerslev, Tauchen & Zhou (2009)
- Units: $VIX_t^2/12$ (month-end VIX) and RV_t = sum of squared daily log returns (%) within month t, both monthly %^{2}, not annualised: a factor 12 below the annualised VRP of Section 8
- If one-month errors are serially uncorrelated, overlap makes u_t an MA($h-1$), a moving average of order $h-1$
  - Newey–West (t_{NW}, h lags), Hansen–Hodrick (t_{HH}) Hansen & Hodrick (1980), Hodrick 1B ($t_{Hodrick}$) Hodrick (1992) (better size)
  - These bandwidths are choices, so check their sensitivity
- p_{boot}: one-sided, VRP simulated as AR(1), a first-order autoregression ($\hat{\phi} = 0.13$) under $b = 0$, residuals resampled jointly Stambaugh (1999); no horizon is significant on the full sample (Section 11 revisits 1990–2007)

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Case Study, Filters and Forecasting Protocol

- Option data: Cboe for 1990–1995 and 2020–2021, OptionMetrics for 1996–2019
- Filters: standard options only (no weekly or quarterly), bid > 0, the OTM option at each strike, 7 to 550 days, at least 10 strikes per expiry
- Returns: S&P 500 with dividends minus the Fama–French risk-free rate, up to March 2021
- Out of sample (Table 8): monthly forecasts against the expanding post-1926 market mean, 60-month initial window
  - $R^2_{OS} = 1 - \sum \varepsilon_t^2 / \sum \nu_t^2$, ε_t and ν_t the errors of the forecast and of the benchmark; Diebold–Mariano tests Diebold & Mariano (1995)

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The Discovery Loop, Reusable Prompts (1/2)

- **Literature**: `"List peer-reviewed tests of VRP return predictability since 2009: DOI, sample, horizon, table, headline estimate."`
  - Search with Semantic Scholar, Google Scholar, Elicit; checks: main slide
- **Hypotheses**: `"Give three competing explanations of VRP predictability and the testable implication of each for the horizon profile, for 2008-2026 and for non-US markets."`
- **Data and code**: `"Write Python that builds VIX squared/12 and monthly realised variance from the daily VIX and S&P 500 closes of the course data and reproduces Table 2 of Bollerslev, Tauchen and Zhou (2009), h = 3, with Hodrick (1992) standard errors."`
  - Any assistant (Claude, ChatGPT, Gemini, GitHub Copilot)

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The Discovery Loop, Reusable Prompts (2/2)

- **Robustness**, fixed before the results: `"Draft a pre-analysis plan: horizons, out-of-sample start date, benchmark, test statistic and the multiple-testing correction across horizons."`
  - Placebo: VRP lagged 12 months or block-shuffled; subsamples; 5-minute realised variance of SPY (from 2020) instead of daily squared returns (optional: needs intraday data, not in the course data)
- **Critique**: `"Act as a hostile referee: why could this out-of-sample R2 be spurious or biased, and which test settles each objection?"`
  - Expect: the checks of the main slide, plus the bias with persistent regressors
- **Report**: every horizon and specification tried, in one table; the plan dated before the results; AI use logged

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Acronyms used in this material (1/2)

- **AI**: Artificial Intelligence
- **AR**: AutoRegressive model
- **ATM**: At-The-Money: strike close to the forward, $k = \ln(K/F) \approx 0$
- **COVID-19**: COronaVIrus Disease 2019
- **CRR**: Cox–Ross–Rubinstein (binomial tree)
- **DVOL**: Deribit Volatility Index
- **ETF**: Exchange-Traded Fund
- **GARCH**: Generalised AutoRegressive Conditional Heteroskedasticity
- **GBM**: Geometric Brownian Motion
- **GJR-GARCH**: Glosten–Jagannathan–Runkle GARCH
- **GMM**: Generalized Method of Moments
- **HAC**: Heteroskedasticity and Autocorrelation Consistent (standard errors)
- **HAR**: Heterogeneous AutoRegressive (model)
- **HAR-RV**: Heterogeneous AutoRegressive model of Realised Volatility
- **ITM**: In-The-Money: a put with $K > F$ or a call with $K < F$
- **IV**: Implied Volatility (mark IV; label of the Bitcoin term-structure chart), not instrumental variables
- **MA**: Moving Average

Acronyms used in this material (2/2)

- **OLS**: Ordinary Least Squares
- **OTM**: Out-of-The-Money: a put with $K < F$ or a call with $K > F$
- **QLIKE**: Quasi-LIKElihood (loss function)
- **RV**: Realised Variance
- **SSVI**: Surface SVI (Gatheral–Jacquier parameterisation of the whole surface)
- **SVI**: Stochastic Volatility Inspired (parameterisation)
- **SVIX**: Simple VIX: index of simple variance swaps (Martin, 2017)
- **US**: United States
- **UTC**: Coordinated Universal Time (Temps Universel Coordonné)
- **VIX**: Cboe Volatility Index
- **VIX3M**: Cboe 3-Month Volatility Index
- **VIX9D**: Cboe 9-Day Volatility Index
- **VRP**: Variance Risk Premium
- **VVIX**: Cboe VIX of VIX Index
- **XFG**: Quantlet prefix of Applied Quantitative Finance (Härdle, Chen & Overbeck)

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